
nFADP Compliance for Swiss Organisations

A Practical Guide to Identity Verification Under the Revised Swiss Federal Act on Data Protection

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Executive Summary

The revised Swiss Federal Act on Data Protection (nFADP) entered into force on 1 September 2023, significantly increasing obligations for organisations that process personal data in Switzerland — including biometric data used in identity verification workflows. This whitepaper provides a practical overview of the five key obligations relevant to regulated entities, explains how each applies to KYC and AML processes, and provides a compliance checklist that compliance officers and technology teams can use immediately.

VerfiX AG is a Swiss-headquartered identity verification platform purpose-built to meet nFADP, FINMA Circular 2016/7, and GwG requirements. All data is processed and stored exclusively in Switzerland.

1. What Changed Under nFADP

The nFADP replaced the Federal Act on Data Protection of 1992, aligning Swiss data protection law substantially with the EU General Data Protection Regulation (GDPR) while retaining Swiss-specific provisions. The key changes relevant to financial institutions and identity verification providers are:

1. Biometric data is now special category data

Processing of biometric data — including facial recognition and voice biometrics used in KYC — now requires an explicit legal basis and is subject to enhanced documentation requirements.

2. Privacy by design and by default

Organisations must implement technical and organisational measures to ensure data protection from the design stage. This affects how identity verification systems are architected.

3. Data Protection Impact Assessments (DPIA)

High-risk processing activities — which includes large-scale biometric processing — require a DPIA before implementation.

4. Mandatory breach notification

Data breaches likely to result in high risk to individuals must be reported to the Federal Data Protection and Information Commissioner (FDPIC) without undue delay.

5. Controller-Processor agreements

Written data processing agreements are now mandatory when engaging a processor (such as a KYC vendor) to handle personal data on your behalf.

Key date: nFADP entered into force 1 September 2023.

Organisations that have not yet conducted a gap assessment should prioritise this immediately.

The FDPIC has signalled active enforcement from 2024.

2. Five Key Obligations for Identity Verification

1. Legal basis for biometric processing

Every use of biometric data — including document scanning, facial matching, and voice authentication — must rest on one of three legal bases: (a) consent of the data subject, (b) performance of a contract, or (c) a legitimate interest that outweighs the data subject's interests. For financial institutions conducting mandatory KYC under GwG, the legal basis is typically the statutory obligation to verify customer identity.

Action required: Ensure your privacy notice clearly identifies the legal basis for each type of biometric processing.

2. Data minimisation

Only the minimum data necessary to achieve the verification purpose may be collected and processed. For document verification, this means extracting only the fields required for the compliance check (name, date of birth, document number) rather than storing the full document image indefinitely.

Action required: Configure your KYC vendor to return only required fields. Avoid storing document images beyond the minimum retention period.

3. Retention limits

Personal data — including verification records and biometric templates — may not be retained longer than necessary for the purpose for which they were collected. FINMA requires audit records to be retained for 10 years; biometric data used solely for liveness detection should be deleted immediately after the session.

Action required: Implement separate retention policies for compliance records (10 years) and biometric processing data (session-only or 30 days maximum).

4. Processor agreements (DPA)

Any vendor processing personal data on your behalf must be bound by a written Data Processing Agreement that specifies the scope, purpose, technical measures, and sub-processor list. Regulators expect these to be current and available on request.

Action required: Obtain a signed DPA from every KYC vendor. Review sub-processor lists annually.

5. Data subject rights

Data subjects have the right to access, rectify, and in some cases erase their personal data. Financial institutions must have a documented process for handling these requests within the statutory timeframe (30 days under nFADP). Your KYC vendor must support you in fulfilling these requests.

Action required: Document your data subject rights procedure. Confirm your KYC vendor can provide data exports on request within 5 business days.

3. How VerfiX Addresses Each Obligation

VerfiX is designed from the ground up to address nFADP obligations. The following table summarises the platform capabilities that correspond to each requirement.

nFADP Obligation	VerfiX Capability
Legal basis documentation	Configurable consent flows; FINMA statutory basis pre-configured
Data minimisation	Returns only specified fields; images not retained by default
Biometric data handling	In-memory processing; no persistent biometric storage by default
Retention management	Configurable per-data-type retention policies; auto-deletion
Processor agreement	Standard DPA available; signed enterprise DPA on request
Data subject requests	Export API for all verification records; deletion supported
Breach notification	72-hour notification SLA; IR runbook shared on request
Swiss data residency	All data in Swiss Tier III certified data centres; no cross-border transfer
Audit trail	Immutable timestamped log per verification; 10-year retention available

4. Compliance Checklist

Use this checklist to assess your current state of nFADP compliance for identity verification processes.

Legal Basis & Documentation

- Privacy notice updated to include biometric data processing
- Legal basis documented for each type of biometric processing
- Records of processing activities (RoPA) updated
- Data Protection Impact Assessment (DPIA) completed for biometric flows

Vendor Management

- Written DPA in place with all KYC/AML vendors
- Sub-processor list reviewed and documented
- Annual vendor security review scheduled
- Breach notification obligations flowed down to vendors

Data Handling

- Document image retention policy defined (30 days or less recommended)
- Biometric data deletion policy implemented
- Compliance records retention set to 10 years per FINMA
- Data minimisation audit completed

Data Subject Rights

- Access request procedure documented and tested
- KYC vendor can provide data export within 5 business days
- Deletion request procedure confirmed end-to-end
- Staff trained on data subject rights handling

5. About VerfiX

VerfiX AG is a Swiss identity verification and trust infrastructure company founded in 2024 in Switzerland. We provide KYC, KYB, AML screening, biometric verification, and fraud intelligence for regulated industries including banking, fintech, crypto, insurance, and government. All processing occurs within Switzerland.

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